

1.

Define 'profit' **Extract B** (line 9).

[3 marks]

2.

Extract B (lines 12–14) states that 'The Universal Postal Service obligations require Royal Mail to deliver letters and parcels to all parts of the country six days a week'.

With the help of a monopoly diagram, explain how the Universal Postal Service obligations are likely to affect Royal Mail's costs **and** profits.

[9 marks]

3.

Extract C (line 2) states that 'Many competitors are using digital technology to drive innovation'.

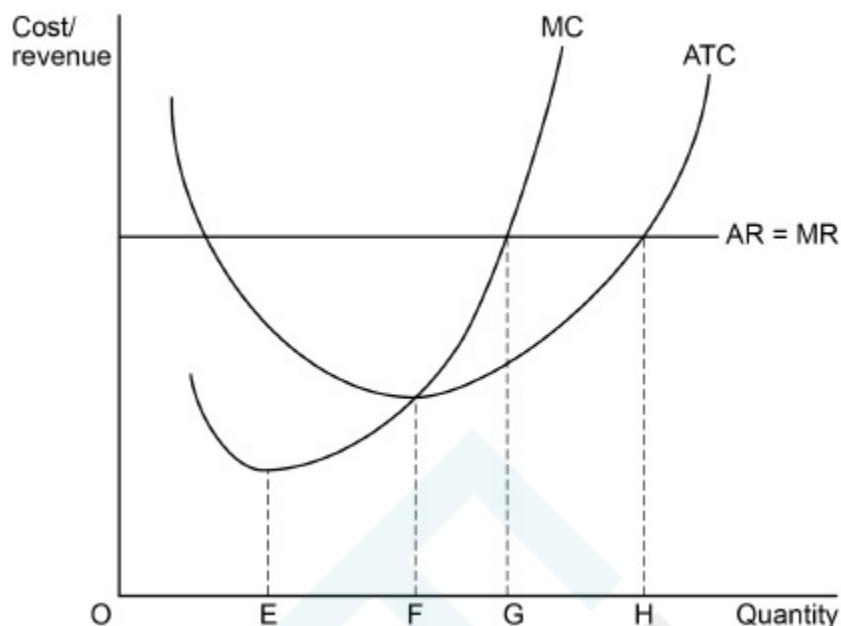
Use the extracts and your knowledge of economics to assess whether the benefits outweigh the costs when the Government privatises organisations such as Royal Mail and opens up the market to competition.

[25 marks]

4.

The diagram below shows a firm operating in perfect competition in the short run.

Which quantity, **OE**, **OF**, **OG** or **OH**, indicates the output where profits are maximised?



A OE

☐

B OF

☐

C OG

☐

D OH

☐

[1 mark]

5.

The UK's labour productivity increases by only 10% over a five-year period. Over the same period its main trading partners increase their productivity by 25%. All other things being equal, the most likely consequence for the UK is

A a decline in UK imports from its main trading partners.

☐

B a 15% deterioration in its balance of trade on the current account.

☐

C a loss of competitiveness against its main trading partners.

☐

D the imposition of a 15% tariff on imports to maintain international competitiveness.

☐

[1 mark]

6.

A firm benefits from significant and persistent economies of scale as it increases output. Which one of the following is the most likely consequence as it grows in size?

The firm's

- A ability to set its own prices will increase.
- B long-run average cost curve will become 'U' shaped.
- C increasing profitability will attract many new entrants.
- D total cost of production will decrease.

☐☐☐☐

[1 mark]

7.

Extract C (lines 10–11) states that 'There is ample opportunity for new players to enter the sector.'

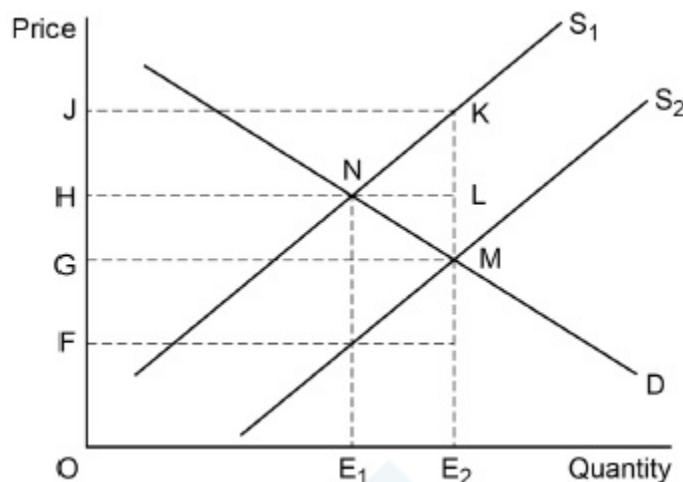
With the help of a diagram, explain how the lowering of barriers to entry in the banking market might lead to lower prices and a situation in which banks make normal profit.

[9 marks]

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8.

The diagram below shows the demand curve (D) and two supply curves (S_1 and S_2) in the market for renewable energy.



The renewable energy market is initially in equilibrium at a price of OH. The government then introduces a subsidy for renewable energy.

After the introduction of the subsidy, the total amount of money received by the producers from both consumers and the government is

- A OGME₂
- B OHLE₂
- C OHNME₂
- D OJKE₂

☐
☐
☐
☐

[1 mark]

9.

In the United States, corporate profits since 2010 have averaged 9% of GDP, compared to 5% in the 1990s. This is causing concern that the US economy is increasingly dominated by companies with monopoly power.

Explain the role of profit in a market economy.

[15 marks]

10.

Extract E (lines 10–11) describes the British railway sector as a ‘natural monopoly’, which was split up into ‘no less than 100 pieces’ when it was privatised.

With the help of a diagram, explain why breaking up a natural monopoly in rail may affect long-run average costs.

[9 marks]

11.

Several loss-making retailers including Homebase, House of Fraser and Poundworld have had to decide whether to shut down operations or carry on while making losses. In contrast, the music-streaming firm Spotify was valued at \$27 billion in 2018, despite never having made a profit in any year since it was founded. Spotify has been more focused on expanding market share.

Discuss the validity of the traditional economic assumption that the main objective of firms is to maximise profits.

[25 marks]

12.

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Explain the factors a profit-maximising firm will take into account when deciding whether to shut down or to carry on operating, both in the short run and in the long run.

[15 marks]

13.

A monopolistically competitive firm's demand curve for good X has a price elasticity of demand of minus 1.0 throughout its entire range. All other things being equal, which one of the following is most likely to result in an increase in the firm's profits?

A A decrease in the cost of producing the good

☐

B A decrease in the price of the good

☐

C An increase in the price of the good

☐

D An increase in the scale of its operation

☐

[1 mark]

14.

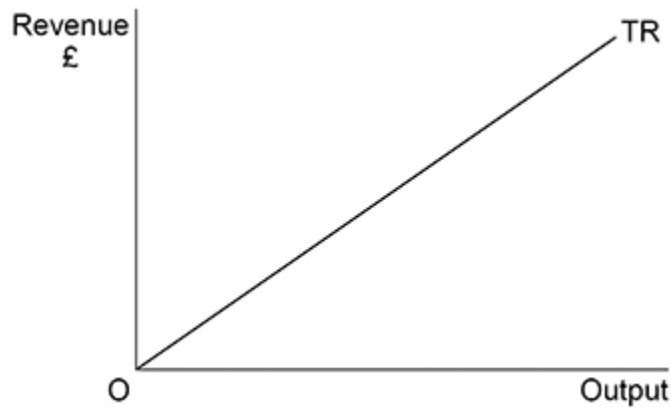
Extract B (line 18) states that the global trade in sand has been 'made possible by cheaper transportation'.

With the help of a diagram, explain how cheaper transportation **and** a construction boom in East Asia have led to growth in the market for sand.

[9 marks]

15.

The graph shows a firm's total revenue (TR) curve.



Which one of the following combinations, **A**, **B**, **C** or **D**, describes how the firm's average revenue and marginal revenue will change as the firm expands its output?

	Average revenue	Marginal revenue	
A	Increases	Increases	☐
B	Constant	Constant	☐
C	Decreases	Decreases	☐
D	Increases	Constant	☐

[1 mark]

16.

All other things being equal, which one of the following is the most likely consequence of technological innovation in the production process by the firms within an industry?

- A** A decrease in the number of firms in the industry
- B** A reduction in firms' unit costs of production
- C** The elimination of entry barriers into the industry
- D** The invention of a product that did not previously exist

[1 mark]

17.

Price comparison websites were used to purchase 53% of car insurance policies in 2017, improving competition and reducing prices for consumers. In other sectors, dominant firms such as Amazon have used innovation to capture market share. In the UK, 70% of online consumers say that Amazon is the first online retailer they visit when buying goods.

Explain how perfect competition should lead to outcomes which are **both** productively and allocatively efficient.

[15 marks]

18.

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Evaluate the view that technological change tends to bring industries closer to the market structure of perfect competition.

[25 marks]

19.

Using the data in **Extract A** (Figure 1), calculate the mean amount of profit that pharmaceutical companies would have made on a new drug in 2019, given that the average development cost was \$2.6bn. Give your answer to the **nearest million dollars**.

[2 marks]

20.

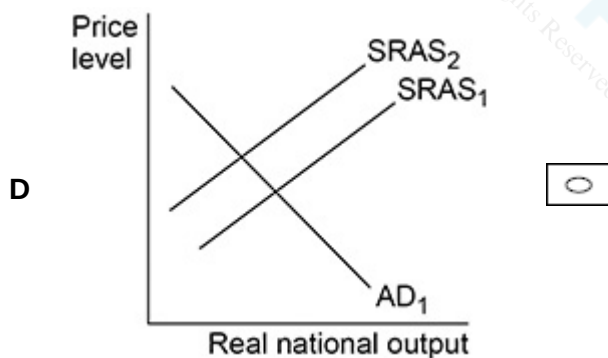
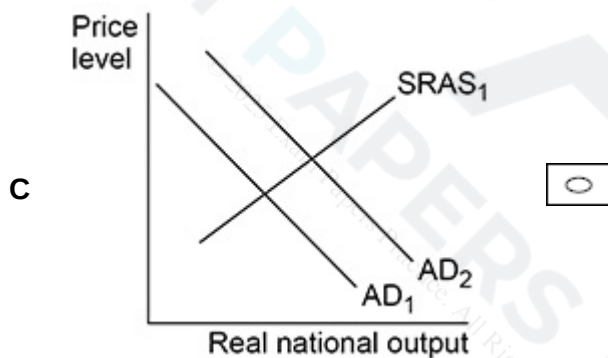
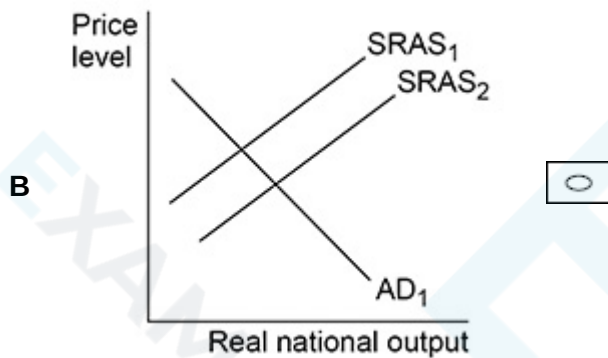
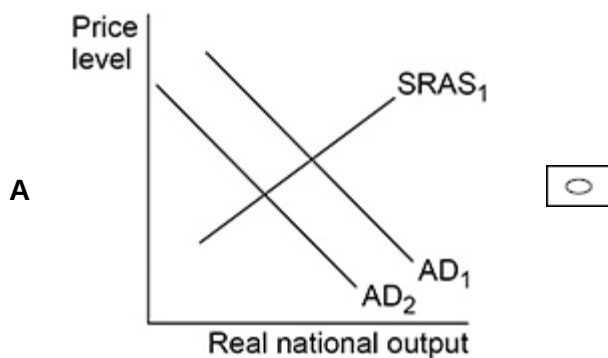
Extract C (lines 1–3) states: ‘The market for most generic drugs is oligopolistic, with just two or three manufacturers making each product. This enables significant economies of scale within firms, but also presents the risk of consumer interests being harmed.’

Using the extracts and your knowledge of economics, assess the view that the market structure of the pharmaceutical industry is damaging for consumers.

[25 marks]

21.

Which one of the following diagrams, **A**, **B**, **C** or **D**, shows the most likely short-run impact on an economy of an improvement in technology in the production process?



[1 mark]

22.

Explain the factors that a commercial aircraft manufacturer, such as Boeing or Airbus, should consider when forecasting the future sales of its aircraft.

[15 marks]

23.

There is a reduction in the market demand for the product supplied by firms operating in a perfectly competitive industry.

All other things being equal, which one of the following will happen to firms' average and marginal revenue as a result of this change?

- A Average revenue and marginal revenue will both fall.
- B Average revenue and marginal revenue will not change.
- C Average revenue will fall and marginal revenue will increase.
- D Average revenue will increase and marginal revenue will fall.

☐☐☐☐

[1 mark]

24.

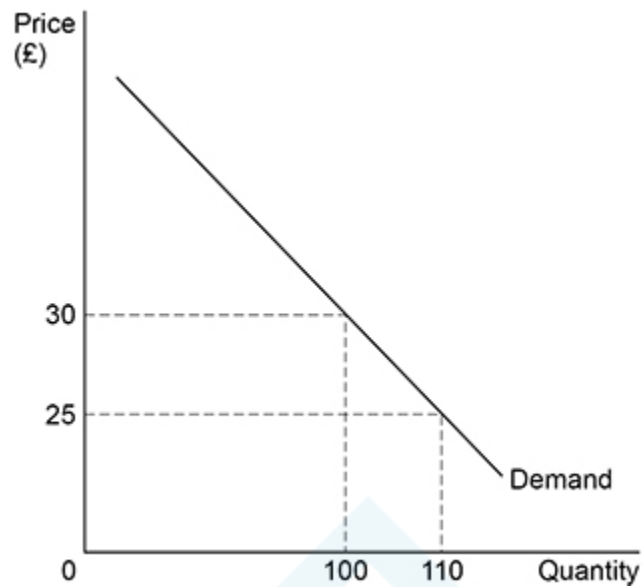
Extract B (lines 16–18) states that, 'Gig economy defenders claim that today's flexible labour markets offer modern workers the opportunity to move freely between jobs and this gives them more choice over their working hours.'

Assess the view that government intervention in the UK labour market is necessary to protect the interests of people who are working in the gig economy.

[25 marks]

25.

The diagram below shows the demand curve for a firm's scarves.



Which one of the following statements is true when the price of scarves is reduced from £30 to £25?

A Demand for scarves is price elastic.

☐

B Price elasticity of demand is -0.5 .

☐

C The firm's total revenue falls.

☐

D The firm's total revenue increases.

☐

[1 mark]